The Credit Market Boogeyman

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The market is currently navigating a structural shift away from traditional yield-based valuations into a reflexivity model driven by skepticism regarding AI Capital Expenditure (Capex) sustainability and fragmented credit markets. The core argument posits that while corporate valuations are high based on long-term forward returns not yet visible until 2028-2029, the capital availability is deteriorating due to "Capex Vigilantes" warning against further borrowing. This has created a dislocation in FX correlations (breaking traditional safe-haven dynamics) and central bank policies (Fed/ECB facing divergent pressures), where credit spreads and energy prices are now more critical drivers of growth than previously assumed.

2. Key Arguments & Data

3. **Credit Market Dislocation:** Credit market leverage has returned to March 2020 peak levels; Cash vs. CDS basis is highly widened, signaling fundamental instability in the lending sector.
4. **AI Capex Vigilantes:** Hyperscalers (e.g., Meta) are committing to $100B-$825B spend but face capital market closures, evidenced by special share class issues and canceled IPOs. The debate is between "School of Thought 1" (Buy on high forward REE regardless of current costs) vs. "School of Thought 2" (Sell shares/Buy bonds as fundamentals cannot sustain this spending).
5. **Reflexivity Cycle:** Market mechanics where rising share prices improve perceived creditworthiness and borrowing availability, but this creates a feedback loop: if stocks drop, credit spreads widen, punishing Capex plans unless returns justify the cost (e.g., 8-9% vs. 7% yields).
6. **Oil & Yield Paradox:** Oil prices are rising above $100 (front-end contract) while yields remain low/going down. Brent compares this to 2008, where rising oil became a growth scare rather than inflationary due to demand contraction.
7. **Equity Sentiment:** NASDAQ corrected from ~30k to 29k (approx. 7-8% correction); Retail is buying dips but creating "elevator shaft" risk.

Goldman Sachs high-beta momentum basket flattened from +70% YTD after peak sell-off.

8. **Central Bank Dynamics:** Fed is "shamed" into maintaining credibility despite Dovish DNA; Financial Conditions Index (FCI) remains relatively loose post-sell-off, but market tightening could prevent hikes in December. ECB faces widening spreads (171bps vs Eurozone crisis highs) in France due to large debt deficits without an obvious fix.
9. **FX Correlation Breakdown:** Old correlation matrices are gone; Dollar is no longer a clear safe haven if US equities drop due to liquidity mechanics. CAD benefits from commodity beta; Brazil shows extreme volatility disconnect between polling (Flavio ~77%) and options pricing on election outcomes/barrier options.

10. **Private Sector Balance Sheet:** Despite high energy prices, private sector leverage is down over the last 10-15 years and government deficits support borrowing capacity, suggesting growth isn't immediately derailed by oil alone.

11. Actionable Takeaways

12. **Rebuild Correlation Models:** Abandon historical correlation matrices for FX trading (e.g., Dollar safe-haven dynamic) as market drivers have become fragmented based on credit cycles and energy prices.
13. **Monitor Capital Availability:** Instead of focusing solely on earnings, track the "availability" of capital for AI Capex companies. If IPOs fail or share classes are forced, expect further credit spread widening ("Capex Vigilantes").
14. **Central Bank Watch:** Be prepared for policy reversals if financial conditions tighten via market pricing (spreads widening) rather than central bank hiking. The Fed is likely to be shy about hikes despite high headline inflation unless shamed into credibility.
15. **Positioning Strategy:** Treat 7-8% equity corrections as common "random events" rather than fundamental breakdowns, but keep an eye on the mid-term election narratives and credit spreads as potential triggers for a new equilibrium.

16. **Risk Management:** Avoid over-reliance on short-term political polls (e.g., Brazil) without considering option market positioning that creates delta disconnects; prepare for potential volatility if barrier options are hit by currency appreciation.

Full Transcript

the macro trading floor. With me, Alfonso Peccatillo, founder of the Macro Compass and former head of investments at the Large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the Art of Currency Trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everybody and welcome back to the macro trading floor. Alf and Brent with you again this week. If I sound tired, I am. Have you looked at the market? It's complete. Mayhem going on. So where do we want to start, Brent? Should we start from the fact that I looked at some of the measure of these locations in credit markets and some stuff, believe me or not, is as dislocated as March 2020, the peak of the COVID crisis. Cash versus cds basis other things where I look and in credit market. There is definitely somebody getting punched in the face there and the leveraging a hundred percent. There is news now out it's a rainy it's sauna it's some one of these big credit funds. But wow that is that is definitely hurting the narrative that AI Cup X can continue forever and that's no problem and the credit market is going to hold it and.

Yeah, and that's one then there is France then there is the tech part and there is more So where do we want to start this week? Yeah, it's funny that you say that because as you were about to hit record I was thinking where do we start here? There's so many things going on and that is what has made it a bit challenging for people that kind of look at at cross market relationships and especially in FX you know, you have a lot of different things going different ways because oil is actually still going up as well. But then I guess I'll start with the oil versus bonds because I think last week you said oil was, um, or sorry, bonds were oil. Now bonds are costly. And I think that was a decent observation a week ago because it's still true this week. We have oil going up and yields actually went down. So There's two ways you can read that. One is just that like oils kind of reached a point where extra 2 here and there doesn't really make a difference. We all kind of get it that

diesel and oil are high and they're squeezing the consumer. Or you could argue that we're at a point where further rises in oil are actually going to trigger a growth scare in conjunction with all this other stuff that we'll talk about. And so the more oil goes up now, the more it squeezes and the more the future growth story gets a little bit more concerning and you know the parallel would be 2008 when oil was ripping and then all of a sudden it wasn't inflationary it was actually viewed as a growth scare situation because not only does oil itself cause you know problems in the economy but then the central banks are hiking into it so you kind of seeing a little bit of the similarity there that you have tech or high beta down oil up and actually strangely energy stocks not trading well but and then yields lower and credit the whole credit situation. So there was this argument as yields went up that the forward returns on AI capex are basically infinite, or they're 25%, or they're something very high. Ultimately, yields don't matter, but the reality is that it's not necessarily so much about the price of credit, it's the availability. It seems like the ability of these companies to borrow is being questioned, and will they be able to do their IPOs?

you had the biggest IPO in Australia canceled a couple, well, I guess that was a week and a half ago, was kind of a harbinger of all this. And now you have Metta in there. So in order to create a new class of shares to as a workaround basically for Zuckerberg, they had to create a special committee because Zuckerberg can't vote on that. And in that special committee, they said the availability of capital is becoming a problem as Hyperscalers are all trying to borrow it and issue equity at the same time. Therefore, it's incumbent on Metta to do this new share class ASAP in order to basically beat the rush. Even Metta, who's probably got one of the best profiles for raising money of any company in the world, is saying the window might shut. Ultimately, that's the question, right?

an absolutely absurd amount of money for an unknown future return, which will probably not really be visible until 2028, 2029. And then it's that gap in between. So we're in 2026. How do you get to 2028 without dropping the baton? And I guess that's what the market's trying to figure out right now. Indeed. So on the credit side of things, this is reflexivity at work pretty much. So if share prices are higher, and credit spreads remain relatively tight, then all of a sudden the fundamentals of these companies look good

and therefore they can borrow more and it's a reflexive cycle where more capex leads to more earnings and everything is great. The moment that share prices drop, that's the very same thing as saying fundamentals are coming down, which is not really, it shouldn't work this way, but it is what it is. The fact that credit spreads keep winding, the fact that meta comes through and says, look we basically know that if we announce additional capex additional spending commitments i think they were at 700 billion of future spending commitments they're now the 825 billion that's one company guys one company is committing to spend a hundred and 825 billion over time of course but it's a huge spending for one company the fact that they up this brand despite knowing that if they would say this openly and not massage the message the market would widen the market would sell their shares there is one school of thought that says they don't care because they're they have an asymmetry of information the school of thought says they know that the return on equity the forward return on equity that is subsequent to this capital spending is so high that they couldn't care less if they have to borrow at eight percent or nine percent rather than seven they couldn't care less if their share price goes down 20 percent in the short term because the insider Holding the shares think they return on equity out of this investment is so high So the school of thought here says Hey, we just need to look for a new equilibrium level. Okay, they've announced it's like thinking Like thinking there is a currency with high Kerry the Kerry's the drift is what I can expect this currency to deliver if I buy the policies of these countries are not great So now we look for a new level for the Turkish lira We found a new level for the Turkish lira and now the Kerry can deliver basically in this case is It could be that the School of Thought thinks the same way. Hey, we are reprising the collateral, we are reprising credit spreads, we're reprising yields, we're reprising share prices, but at some point this reprising allows the drift, the perceived return on equity to overcome any fears, right? And this School of Thought says if you believe that the return on equity will be high, if you believe that Meta and Google and Amazon know what they're doing, you should at some point step in and buy.

You should because the perceived forward return at these valuations is so high that you should participate and believe them. The second school of thought is interesting too. It says, share prices are going down, credit

spreads are going wider. The more they try, the more they don't listen to the market. The way I would phrase it is instead of bond vigilantes, we have capex vigilantes, pretty much. Yeah, the capex vigilantes are telling them, guys, shut up. you can't do the spending commitments unless you're ready to pay wider and wider credits. We're going to dump your shares and if they keep doing it, they will be punished more and more until they have to basically throw in the towel, right? And the mathematics of this doesn't work anymore. In that school of thought, you basically have to buy bonds and sell shares and structurally so, because they will throw in the towel on cupcakes. The first guy that goes out of the door will lead everyone else to go out of the door and we are talking about a completely different cycle.

I am School of Thought 1. Yeah, I think I lean a little bit more that way. Sorry, go ahead. No, I'm just going to finish my Rambo here. I am School of Thought 1, although my uncertainty window around this is pretty big, because again, we are not talking about assessing the fundamentals of a country. We're talking about assessing the fundamental of a credit cycle of AI capex, which again, is much more uncertain. It's much more difficult to assess in my opinion, but still. School of thought one if I have to choose. What about you? Yeah, I think I'm more agnostic but I will say that I think a lot of the credit side is built on faith as much as reality because there's just no way to know like I was saying what what the payoff is going to be and the payoff isn't we're not going to have visibility in two months or whatever so there is a certain amount of faith embedded in and that's I think the nature of credit crises is that you go from you know, faith to lack of faith. And just going to what you were saying about reflexivity, I think the sort of scary backdrop to all this is that the US economy has been driven by AI capex to a major extent. You know, it's not the only thing that's working. Obviously, the consumer has been strong. But then you can even argue that the consumer has been strong because of the wealth effect. And the wealth effect is circular too, because People are saying, oh, you got to buy the stocks because earnings are so strong. But some component of those earnings is reval on things like Anthropic and things like that. So if a company, one of the Mag7 owns a chunk of Anthropic and it went from zero to a trillion, there's some earnings impact there. So that could be negative earnings impact. So there is some sort of pro cyclical or circularity

within the whole system where if stocks go down, then consumers spend less because of the wealth effect.

and companies have trouble raising, so then companies spend a little bit less, or they delay. There's still a lot of room to delay these projects because it's so much pie in the sky. If I had to be a little bit more one way, I would be a little bit more on the skeptical side just because I look at all these products and they just look like a bunch of commodities to me. Claude a lot more, so I do believe Claude is superior for what I'm doing. But a lot of queries, I just put them in Gemini, ChatGPT and Claude and get essentially the same answer for a lot of things. So they're becoming increasingly commoditized. As soon as someone launches something, all the other ones just copy it and is Muse that exciting? I don't know. I mean, it did get a lot of fanfare, but a lot of these things.

generate a lot of fanfare on announcement day and then I personally don't know anyone that uses Muse. Obviously, that doesn't mean anything that's anecdotal. But what I'm saying is if you think back to all the product launches of Claude, Claude's launching the plug-in and then the software stocks fell 20% or whatever, it does seem like the market really has absolutely no clue where the revenue is going to come from. It's probably going to benefit the world in tremendous ways. But are those companies like OpenAI ever going to pay back their commitments to Oracle or whatever? I don't know. It seems very sus to me. And then the real question isn't whether OpenAI will make 500 billion or whatever it needs to make to pay off all these commitments. The question is whether they'll even ever have the chance or will the market just call the bluff at some point and then All these companies struggle to raise and then you have a bit of a shit show. What about sentiment right now, Brent, because you called pretty much the top in NASA crazy stuff. You also were. To be blamed by the gods for taking profits too early because this is coming down, but well done. It was a very good trade and at the end there are no regrets there. Now, how do you think or how do you assess the sentiment here after the rallying rates? I mean, in 10s we are moved from 535 to.

1. That's 40 basis points. You know, it's quite a rally back. Yeah, it's big move, right? And equities have also dropped. I mean, it's not huge at

> the index level, but there is a visible drop and below the hood, there is a lot going on, right? I mean, certain sectors. So yesterday, somebody telling me the Goldman Sachs high beta momentum basket. is now flat, it was up 70% year to date in June, 70% is now flat. I actually looked at it and I said, what do you mean it's still flat? I mean, this thing should have been destroyed and it is been destroyed but from up 70% before situational awareness fell, right? So how do you judge local sentiment here? I mean, do you think, do you feel the vibes and the indicators as that that we are close to a local trough or don't you think we're even there yet?

I think honestly, like so it's a bit of a boring answer, but I do feel like, so I want to preface it by, I think most of the time positioning and sentiment doesn't really matter that much. So only at the super extremes do I really care about it. Here I feel like there's definitely obviously a lot more bears than there were at the highs, but retail has actually been buying the dip like crazy as well, which always is a bit scary because that opens up the elevator shaft move potentially. But I will say my base case, which once I squared up my short, I was riding this week basically 29,000, 30,000 range in NASDAQ because, and actually we did get to 30,000 on Wednesday and now we're at 29,000. So I would be more of a buyer here simply not really a fundamental thing. It's more that A garden variety correction between five and 10% can just happen all the time for no reason. Like you can always have one of those and you sure there'll always be some reason in hindsight or whatever, but they just happen as a regular course of business in the stock market. And we're getting close to that. I think we're at seven or eight now, maybe eight and a half or something. And to me, that just generally is like the really basic.

kind of by the dip time and then support wise, there's a ton of support here in the Nasdaq between essentially from here to 28 800, which is super close. And then we're getting close enough to the midterms. I don't know if we want to talk about that, but I really feel like there's so much been written about the midterms. I just don't feel like it's a really major market event, you know, Trump's policies on trade and as foreign policy and trade policy. have bypassed Congress and, you know, obviously he's just breaking the law and then going to the Supreme Court and then the Supreme Court tells

him he did something that he can't do and or it tells him he can go ahead. And so there's no, you know, Congress is doing absolutely nothing in this second Trump term. So I don't, I'm not a big believer. Obviously I know they can start doing prosecutions and investigations and all that kind of stuff potentially, but for the economy, I don't really think the elections matter. So I think you have a little bit of like nervousness here into the elections and a sell-off that, you know, you could back fit some stories, but, you know, with yields, actually now we're back down at 495. Maybe the pressure with a bit of a delayed reaction, the pressure comes off. And, you know, I think we probably stabilize somewhere around here.

So that would be like 7,600 S&P, 29,000 NASDAQ. And I will keep an open mind that this is something bigger. But my intuition is that this is just another random correction that will soon be forgotten. So you are school of thought number one then. You are agnostic, but you are more school of thought one than you are two. Otherwise you would tell me, I am, you know. Well, it's a different time horizon. So I do feel like eventually the bill will come due and some of these Frontier models won't be able to pay the bills, but that's just a story for another day. And I don't think I don't try that time horizon. I think honestly, I think it's not forecastable that this that question of will AI pay off? I just don't think a human being can forecast that. Fair enough. Let's about central bank reaction functions brand. I think it's quite interesting because yesterday at the peak of the sell-off NASDAQ, the chances of the Federal Reserve delivering a hike in December went below 65%. So less than two out of three chances. Now it is well understood by the market that the Federal Reserve has an inclination to hike. It has been telegraphed that even the centrist of the committee's think that there were two hikes needed since the switch of the Fed one has been delivered. The other one was to be December. So when I see these odds going below 12 of three, it makes me question whether the market is even willing to attack this very likely outcome of the Federal Reserve has to hike, even for credibility purposes again in December. Then there is DCB, which has the French situation, which we should chat for a second about. And there the market seems a little bit more open to think they might, they might skip December.

if financial conditions are getting tighter because of France I mean the question is if the central banks decide to take a step back here while inflation still runs well above target I mean that hasn't changed to be honest and energy prices by the way they're not front and center of your commentary anymore not your I mean in general on any commentary but the front future contract of the of crude oil is above 100 I mean in the meantime that is still going on that hasn't been nearly solved so what do we think of. the Fed and DCB reaction functions. Let's chat a little bit about energy and also about France, I guess, and then maybe we can close with the dollar. Sure. Yeah, it's crazy how many different things are going on. So France is interesting because it looked like we had kind of a blow off a couple of weeks ago to what the spread went to 160 basis points, which is getting up there towards like the Eurozone crisis highs.

And then things stabilized and stabilized for a couple of weeks. And then I don't know if you want to blame the protests because it didn't really move right away. But anyways, we went back to 140 and now we're at 171. And the real issue there that makes it so difficult is there isn't really like an obvious fix in the ECB TPI where they intervene is really not. it's not going to be happening very easily. And I guess the scary thing really is like the numbers are really bad in France. Like they've just been spending for so long, so much for so long that the debt's big, the deficit's big. You know, the economy is really big. That's the thing too is that it's not like Greece where it's like this little thing. You know, France is an absolutely massive economy. So.

I don't really honestly know what to make of it. It feels like the path of least resistance is that it keeps on widening. And then in terms of the central banks, I do find it really interesting that there's this issue with like the Bank of Canada is a good example. And even if you don't care about Canada, it's relevant because what you have there is headline inflation is so they run a 2% to 3%. inflation target band. Headline is above the top of the band and core is below the bottom of the band. And that's kind of like what's going on in a lot of places. You have very high headline and pretty low core. And what central banks really should be looking at is second round effects. And how long do you wait before you say, okay, there's no second round effects. And oil at this level is actually is not inflationary because of the

contractionary impact on demand and all that. And so far, most of the central banks are just saying, okay, we have to hike into this, but it does leave a lot of scope for really big reversals in the front end if either the central banks or either the central banks make the statement or the market just comes to the conclusion that, hey, they shouldn't be hiking into this. There's so much room for things to go the other way. But in the meantime, I don't know, I'm not as convinced that the Fed is actually hawkish. What I feel like is they've been kind of shamed into trying to establish credibility because Worse is new. And the Fed has lost so much credibility with all the trading front, like front running their own policy in the trading world. And then you know, missing on inflation, buying mortgage-backed securities in 2022 when inflation was 7%, like just so many obvious things to criticize. And so I feel like Worsh kind of has no choice but to say, hey, we're going to get the credibility back, but then, you know, hiking once every six months or whatever isn't going to do that. And that's all they seem to really be willing to do. As soon as, you know, as soon as they hiked, You're rolling out three guys saying, don't worry, don't worry. We're not going to hike in October. We promise. So I don't know. I feel like it's just the same old fed like the Yellen and Powell where they have in their DNA is a dovish bias and like they'll hike if they're absolutely forced or embarrassed into hiking, but they really don't want to hike. So like I could see another 8% in equities and they won't even hike in December.

So to me, it's just very up in the air. I feel like the bar to stop hiking is super, super low because especially with, you can always look at trimmed mean and things like that, any kind of super corn measure like that and have an excuse if you really need it to be dovish. Yeah. So it is true, obviously, that tightening in financial conditions is something that central banks are aware of. Warsh even mentioned the own financial condition index from the Federal Reserve. So I looked at it in one of my last research pieces and to be honest, even after the sell-off, it's still relatively loose. I mean, it is still not tight. So that is an argument by which you can say, nah, this sell-off is not enough to derail them. But obviously, if the sell-off gets worse, the financial condition index will tighten to a point where it's debatable whether central banks, they're already telling you, also in Europe, they're telling you that the market is doing the work for them and that the fact that spreads are widening and yields are going up is already tightening per se, so they don't

need to double down on that, right? So I think you are right. I think also on the other side, Brent, it's a very convex situation because I think on the other side, if I look at the private sector balance sheet fundamentals, they are very strong. Like even in the UK, in Europe, not to talk about the US, an ongoing fiscal deficit stands which is ongoing especially in Europe and in the US versus the fact that the private sector leverage has come down aggressively over the last 10 to 15 years means that the private sector can take a lot more because the government gives them money in the first place plus their balance sheet is already healthier than it was 10 years ago and that means they can take a lot more and so these high energy prices are unlikely to derail growth per se alone if you then of course add high energy prices for a year plus tightening of financial conditions, then you will have an impact. But you have to be prepared for a situation where, hey, this tech situation stops or France finds a way to muddle through. Then you go back to only the driver being high energy prices. But high energy prices with this balance sheet of consumers being so healthy and deficits, in my opinion, means hikes are likely to continue. So it's a very like, for rates in my opinion here, a lot depends on how this Exogenous tightening of financial the credit situations evolve basically the credit or France. Those are the two big credit situations at the moment. They are determinant, but the underlying fundamentals want to be clear. My stance is the private sector can absolutely take more hikes. No problem at all. I don't believe in the growth scare part only coming from crude oil at 100. Basically, I don't see how that feeds into the consumer balance sheet. Yeah. And I mean, they're most likely scenario, I guess, is that we do stabilize. They hike in December and then you kind of see what happens with growth in 2027. Just going to FX, that's been an interesting situation because you had a really strong correlation basically where yields were going up and oil was going up and things like something like dollar yen was going up. And now it's really, people are super confused because The old model of you know equities down is normally by dollars as a safe haven sort of I mean not always but that's not really working because if people are massively overweight the US then US equities going down is actually bearish the dollar So you have all these different time horizons. You almost have like three time horizons where initially people sell dollars on equity weakness because you know sell USA kind of trade And then if liquidity really is getting sucked out of the system and like things like Bitcoin and silver and gold are falling, then

you get these waves of dollar buying because it's just like a liquidity story. And then the more that things fall, then bonds start to fall and rate differentials start moving and then people start selling dollars again. So it's been really difficult to trade. And you know, the net of all that is really euros unchanged this week. So the move.

in Dalyan was interesting because Dalyan's gone nowhere for a while. Everyone's been waiting for GPIF to start buying domestic bonds. And there's some evidence that maybe that's going on. It's been a very difficult trade because I would say people that are short are probably short around here, but you are paying a lot of carry to be short, which is super annoying when it goes nowhere for three weeks. And then the more cyclical and sort of like risky currencies, which in the olden days would have sold off on an equity sell-off like this have been incredibly strong because they have commodity beta. So the Canadian dollar has been doing very well for the last couple of weeks because it benefits from strong oil. And then you had Macklem sounding super hawkish last week, which is kind of weird to me because they cut to neutral. And now they're talking about hiking.

which seems very early to me given that, like I said, cores below target and headlines above target. And there's a positive GDP shock now because the back end of the oil curve is moving so much. So Canada is benefiting from that. But I actually think that Canada is maybe a little bit overpriced. So I think there's a chance they actually pass at this meeting, even though it's almost fully priced. So we'll see on that. It is interesting. So I guess the broad takeaway for people that don't trade FX or for people that do trade FX is that whatever you had in your head as a correlation matrix for FX, you basically can cross, you can rip it up and start building a new one because all the old correlations essentially are pretty much gone. The only thing that just always matters in the bigger picture is interest rate differentials.

But that's even interest rate differentials appear to be like a small piece of the puzzle. Because for example, Euro dollar, because of the big move in US rates, that would say Euro should be way higher because German rates haven't moved as much. But then you have France widening, so which is lower. And actually, if you put those two lines on a chart, which I'm staring

at right now, so the green line is interest rate differentials, which is going up. The red line is France spreads, which is going down. And then my black line is zero dollar. And it's literally the average of the, like it's right in the middle of those two things. So it's pretty complicated in FX right now. There's no clear dollar direction. There's really not a big positioning story. And so ultimately, like many of these things, it's how this AI CapEx wobble sorts itself out. That's going to determine whether we've peaked in the dollar now, or are we going to go into like an energy.

slash political crisis in Europe and Europe goes to 105 and I'm pretty agnostic right here. Yeah. Basically the credit stories in France and AI Cup X will be explanatory of what happens to a lot of assets going forward. I mean, and this is funny because it used to be that before you had to predict the cost speed and you have to predict oil, then now you have to predict the credit cycles in AI and France. It is what it is. One quick word before we leave is about Brazil. It's going to have elections, second round of elections this weekend. It's a lot of stuff going on there. My summary is the following. It's very difficult to have an edge in markets in general. Something I've noticed is that a lot of people are very interested in what happens over the next month or two weeks. For me, it's funny to see because we have had positions for the Brazilian elections for five months now.

when we deemed it appropriate and now I'm like okay like I have my position I know what happens or doesn't happen to my book and I see a lot of commentary in my sales chart all over the place about ah the risk reversal here is there and people are selling and the poll is now one point tighter which is statistically relevant by the way on that sample size so something interesting is that I'm not saying this is alpha it's not but it is definitely a differentiating We have looking at markets if you're able to size and hold positions for very long time horizon simply because you're doing something different than most people are. That's just, you know, a little nugget there from my side. The other thing I would like to say about Brazil is there is a lot of options that have been struck with RKO's or ERKO's which basically means in plain English that people are positioned delta wise to belong to Brazil and real. They will make money if Bolsonaro wins.

And then their options will be zeroed if the Brazilian Real appreciates beyond a certain point. That's what it means. Those barrier options basically work like that. I have the feeling that if Bolsonaro wins, it's going to be a lot of people that are happy and then very soon unhappy. Because the Brazilian Real, in my opinion, my rally a lot more viciously than they thought. And then their options will be worth zero because the barriers are hit. That's a bit what I think. But Brent, what do you think? Yeah. I guess one of the most interesting things because our business is in options and we've seen so much flow in Brazil is I haven't really seen a market blow up like this in a long time because people got kind of complacent after round one and it's like, okay, everything's good. And then as the polls started to tighten, you know, we saw one week trading on a 50 handle, which is, you know, a lot of times FX fall is one digit. So one week.

trading at 50 something, 57 is pretty epic. And obviously that ball is going to collapse regardless of what happens at the end of the next round. But it is interesting because if you look at the pricing and options, there's a lot of force buying of options. And so there's a pretty big disconnect between poly market, which is still around 77% for Flavio and the options market, which is just, you know, pricing way higher odds of the tail simply because no one will actually sell the tail. So there's an interesting sort of setup there. I mean, to me, it just, it seems like we are going to probably have a Flavio and then we'll flatline pretty quickly because there isn't enough over, like if we're in a super carry environment, then I think Brazil could trend again. But if you look at what Mexico is doing and what AI is doing and cost being all that, It's not the kind of world where people are just going to go limit long carry just because Flavia won. I don't think the delta of the policies is big enough. I mean, it's big, but it's not big enough. I mean, the fiscal deficit and everything is still going to be lurking. So I think it's really interesting from an options point of view and the elections this weekend. So I guess by the time people are listening to this, we'll probably know the answer. Fair enough.

There won't be a podcast next week. I'm traveling. There will be a podcast a week after that, so we can talk about whether AI blew up or whether it was time to buy those stonks. As it was the case for two years, every time there was a drawdown, anywhere close to 5% or 10% from the peak, we will find

out we are agnostically trying not to blow up ourselves. That's Brent and I. Please do the same. It's very important to still have a seat. Otherwise, you don't get the chance to play the game again. Don't blow up and have fun. Ciao guys.